Info Edge (India) Ltd.

Q4FY22 Result Update | IT

"Great company at a bad price"

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

31st May 2022

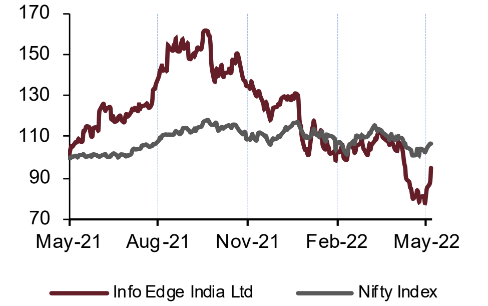
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	5,524	34

Market data

Current price	**Rs**	**4,119**
Market Cap (Rs.Bn)	(Rs Bn)	531
Market Cap (US$ Mn)	(US$ Mn)	6,851
Face Value	Rs	10
52 Weeks High/Low	Rs	7465.4 / 3313
Average Daily Volume	('000)	566
BSE Code		532777
Bloomberg		INFOE.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	38.17	38.40
Public	61.77	61.51
Total	**100**	**100**

Source: BSE

InfoEdge reported a strong Q4FY22 performance which was a beat on our estimates across the board

- Revenue came in at INR 4,555 Mn, _+9% qoq / +52% yoy and 6% above our estimate_
- EBITDA came in at INR 1,280 Mn, _+6% qoq / +118% yoy and +5% above our estimate_
- EBITDA margin stood at 28.1%_vs 29.1% / 19.6% in Q3FY22 / Q4FY21 respectively and above our estimate of 27.6%.
- PAT stood at INR 1,207 Mn, _+5% qoq / +66% yoy and +4% above our estimate_
- EPS stood at INR 9.4 _vs. INR 8.9 / INR 5.7 in Q3FY22 / Q4FY21 respectively._
- Billing stood at INR 6,494 Mn, _ and reported a solid growth of +35% qoq / +52% yoy_. Growth in billing was led by Naukri with a +39% qoq / +67% yoy growth followed by 99 acres at +29% qoq / +11% yoy growth and Others at +13% qoq / +23% yoy growth.
- Board recommended a final dividend of INR 5 per share

Segment-wise Performance

- **Naukri:** Revenue stood at INR 3,444 Mn, +11% qoq / +73% yoy. PBT stood at INR 2,014 Mn in Q4FY22, +116% yoy and translating into PBT margin of 58.5%. Billings stood at INR 5,133 Mn, +39% qoq / +67% yoy
- **99acres:** Revenue stood at INR 613 Mn in Q4FY22, +5% qoq / +22% yoy. EBITDA Loss stood at INR 279 Mn vs Loss of 176 Mn in Q4FY21. Billings stood at INR 793 Mn, +11% yoy
- **Jeevansathi:** Revenue stood at INR 254 Mn, +5% qoq / +0.7% yoy. Operating losses stood at INR 372 Mn vs loss of INR 276 Mn in Q3FY21. Billings stood at INR 281 Mn, +1.6% yoy.
- **Shiksha:** Revenue stood at INR 244 Mn, +11% qoq / +65.7% yoy. EBITDA was positive at INR 68 Mn versus INR 82 Mn in Q4FY21. Billings stood at INR 287 Mn, +64.5% yoy.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	12,727	11,091	15,430	22,472	26,331
EBITDA	4,027	2,831	4,549	6,599	7,819
Adjusted net profit	3,290	2,771	4,330	5,952	7,003
Free cash flow	3,138	1,931	5,182	7,989	8,507
EPS (Rs)	27.1	21.6	33.7	46.3	54.5
growth (%)	4%	-20%	56%	37%	18%
P/E (x)	151.5	190.2	121.8	88.6	75.3
P/B (x)	20.5	11.8	11.4	10.7	9.9
EV/EBITDA (x)	122.2	177.3	110.4	76.0	64.0
ROCE (%)	11.2	5.4	6.7	9.0	9.9
RoE (%)	13.8	8.0	9.5	12.5	13.7
Mkt Cap/Sales	39.2	47.5	34.2	23.5	20.0

Source: Company, Dalal & Broacha Research

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Conference Call Key Takeaways

Naukri

- NCLT approved the merger of IIMJOBS and Infoedge.
- Recruitment market continues to be strong and IT markets continue to see strong hiring pressure in account of high attrition and increasing gap between demand and supply of IT talent - Naukri has emerged as a high value requirement tool.
- There was an increase in demand for freshers last year through their Firstnaukri platform which grew at 100%.
- Last 2 quarters demand for non-IT talent has also comeback as the economy continues to open post pandemic.
- Watchful of recessionary trends which could impact the IT hiring.
- New CV registrations in Q4 stood at INR 21,000 per day while CV modifications per day stood at INR 417 k. Traffic share remains stable and daily users are at an all-time high.
- DoSelect (acquisition in Talent Assessment space) generated a revenue of INR 16.2 Cr in FY21-22 compared to INR 4.2 Cr in FY21.
- Similar growth in Zwayam with revenues growing from INR 6.5 Cr to INR 11.6 Cr.
- AmbitionBox has startup that was acquired has now as big as GlassDoor India.

99acres

- Strong revival of demand for ready to move in homes seen by well-known builders.
- Affordable real estate prices combined with rising incomes low home loan rates and demand for bigger homes post covid are likely to lead to the real estate market picking up in the months to come.
- Experiencing growth in the real estate sector and on account of the aggressive stance by their competitors they have increased marketing spend by 44% QoQ.
- Launch of premium listing has received an encouraging response by advertisers.
- Growth of unique users and traffic on the platform will be the priority for the next few quarters.
- Investment of INR 137 Cr was announced in 4B Networks during the quarter.
- Paid Listings have gone down due to increase in the prices which has led to decrease of multiple listings on the same property by the brokers and also due to the faster moving market.

Matrimony

- Continues to grow at 5 to 10% per annum.
- Jeevansathi is the number 3 player in the market with 15% market share. There has been a change in strategy to increase their market share they have gone free for many of their paid services. Revenues can be impacted by 30% - 40% drop for 3 to 4 quarters but the marketing costs will also come down.
- Acquired 76% of Aisle (serious dating platform) management is quite optimistic in this space and expect the business to grow well.

Shiksha

- Continue to invest in Study abroad business which is doing well and generated INR 20 Cr of revenue last year.
- Shiksha has been doing well for the last 2 years and there is going to be an increase in investments in Shiksha going forward.

Other Highlights

- Rise in employee costs: Investment in JobHai (blue collar jobs) and Bigshift (premium platform for end to end hiring) is not going to generate revenue in the short term. Will continue to hire in their newer verticals and a few hiring's in their regular verticals in sales, operation and customer service may take place.

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. mn)	Q4 FY22	Q3 FY22	Q-o-Q change %	Q4 FY21	Y-o-Y change %
Total Revenue (INR Mn)	4,555	4,161	*9.5%*	3,005	*51.6%*
Less:					
Network & other charges	85	81	*4.2%*	79	*6.8%*
Employee Cost	2,039	1,868	*9.1%*	1,553	*31.3%*
Advertising & promotion charges	967	806	*20.0%*	559	*73.0%*
Admin & Other expenditure	185	197	*(5.9%)*	226	*(18.0%)*
Total Expenditure	3,275	2,952	*11.0%*	2,417	*35.5%*
EBIDTA	1,280	1,209	*5.9%*	588	*117.6%*
Less: Depreciation	97	99	*(1.9%)*	107	*(9.8%)*
EBIT	1,183	1,110	*6.6%*	481	*145.9%*
Interest Paid	10	11	*(11.5%)*	14	
Other income (expense), net	421	428	*(1.6%)*	407	*3.5%*
Extraordinary Income	0	2,178			
Profit Before Tax	1,595	3,705		842	
Adj. PBT	1,595	3,705		874	
Tax	436	381	*14.3%*	145	*199.7%*
Deferred Tax	-48	10,396			
Profit After Tax	1,207	-7,072		697	
APAT					
Basic & Diluted EPS (Rs.)	9.4	(55.0)		5.4	
Adjusted PAT	1,159	1,146	*1.1%*	729	*59.0%*
Basic & Diluted Outstanding (mn)	129	129		129	
Adjusted EPS	9.0	8.9	*1.1%*	5.7	
Margin Analysis %			***Change In bps***		***Change In bps***
EBIDTA Margin	28.1%	29.1%	*-96*	19.6%	*852*
Operating Margin	26.0%	26.7%	*-71*	16.0%	*997*
NPM	25.4%	27.5%	*-210*	24.2%	*119*
Effective Tax Rate (%)	27.3%	10.3%	1,704	16.6%	1,069
Cost Analysis %			***Change In bps***		***Change In bps***
Cost of Revenues/ Sales	46.6%	46.8%	*-24*	54.3%	*-771*
SG&A/Sales	25.3%	24.1%	*119*	26.1%	*-82*

Source: Dalal & Broacha Research, Company

Revenue growth was strong on qoq and yoy basis and 6% above our estimates.

EBITDA margins stood at 28.1%. Management indicated that Advertising costs will remain elevated for 99acres and Shiksha and may increase it for Naukri as well. Therefore, margins could remain under pressure in the near term.

Valuation & Outlook

Info Edge is trading at 88.6x / 75.3x FY23e / FY24e EPS (On a standalone basis)**.** Naukri continues to perform well on the back of a vibrant IT services sector which has high attrition levels and demand-supply crunch. Acquisitions such as iimjobs, Zwayam, DoSelect and AmbitionBox are all performing extremely well and better than our expectations. Additionally, hiring in non-IT sectors like Travel, Tourism and Hospitality have also started picking up. 99acres performance was also healthy on the back of a robust real estate sector. Matrimony business should see some impact in the near to medium term as management changed its strategy to acquire a higher user base and market share. Management targets to achieve a higher market share and drive out competition through this strategy. Shiksha continues to perform well and grow profitably.

We assign an ACCUMULATE rating on the stock with a target price of INR 5,524, based on an SOTP valuation methodology.

Financial

Profit & Loss A/c					
YE March (Rs. mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
Net Sales	**12,727**	**11,091**	**15,430**	**22,472**	**26,331**
% Growth	*16%*	*-13%*	*39%*	*46%*	*17%*
Network & other charges	234	261	300	539	632
Employee cost	5,396	5,528	7,030	9,437	11,266
Advertising & Promotion	2,044	1,819	2,849	4,773	5,297
Admin & Other expenditure	1,026	652	703	1,124	1,317
Total Operating Expenditure	**8,700**	**8,260**	**10,881**	**15,873**	**18,512**
EBIDTA	**4,027**	**2,831**	**4,549**	**6,599**	**7,819**
Less: Depreciation	413.8	437.9	397.6	617.6	777.6
EBIT	**3,614**	**2,393**	**4,151**	**5,982**	**7,042**
Non-operating Income	876	1,188	1,699	2,247	2,633
Profit Before tax	**4,423**	**3,524**	**5,804**	**8,190**	**9,636**
Tax	1,133	753	1,474	2,238	2,633
Net Profit	**3,290**	**2,771**	**4,330**	**5,952**	**7,003**
Adjusted Profit	**3,290**	**2,771**	**4,330**	**5,952**	**7,003**
Reported Diluted EPS	**27.1**	**21.6**	**33.7**	**46.3**	**54.5**
Adjusted Diluted EPS	**27.1**	**21.6**	**33.7**	**46.3**	**54.5**

Key Ratios					
EBIDTA (%)	**31.6%**	**25.5%**	**29.5%**	**29.4%**	**29.7%**
NPM (%)	25.8%	25.0%	28.1%	26.5%	26.6%
RoE (%)	**13.8%**	**8.0%**	**9.5%**	**12.5%**	**13.7%**
RoCE (%)	11.2%	5.4%	6.7%	9.0%	9.9%
Tax Rate %	**25.6%**	**21.4%**	**25.4%**	**27.3%**	**27.3%**
Book Value Per share (Rs.)	200.0	348.4	358.9	382.1	413.4

Valuation Ratios					
P/E (x)	**151.5x**	**190.2x**	**121.8x**	**88.6x**	**75.3x**
EV/EBITDA	122.2x	177.3x	110.4x	76.0x	64.0x
P/BV (x)	**20.5x**	**11.8x**	**11.4x**	**10.7x**	**9.9x**
Market Cap. / Sales (x)	39.2x	47.5x	34.2x	23.5x	20.0x

Free Cash Flow Statement					
YE March (Rs. mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
EBITDA	4,027	2,831	4,549	6,599	7,819
FC Investment	25	500	500	500	500
WC Changes	62	111	2,188	3,524	3,111
Depreciation Tax Shield	106	94	101	169	212
Tax Expenses	1,032	605	1,155	1,803	2,136
FCF	3,138	1,931	5,182	7,989	8,507

Balance Sheet (Standalone)					
YE March(Rs. mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
Liabilities					
Equity Capital	1,223	1,286	1,286	1,286	1,286
Reserves & Surplus	23,093	43,514	44,868	47,845	51,873
Others	566	566	566	566	566
Equity	**24,882**	**45,366**	**46,721**	**49,697**	**53,725**
Net Worth	**24,882**	**45,366**	**46,721**	**49,697**	**53,725**
Total Loans	**2**	**2**	**2**	**2**	**2**
Capital Employed	**24,884**	**45,368**	**46,723**	**49,700**	**53,728**
Assets					
Gross Block	1,276	1,776	2,276	2,776	3,276
Less: Depreciation	1,256	1,694	2,091	2,709	3,486
Net Block	**20**	**82**	**184**	**67**	**-211**
Investments	14,672	16,672	18,672	19,672	20,672
Investment - Others	9,854	9,467	11,283	16,000	21,382
Current Assets					
Sundry Debtors	67	61	85	123	144
Cash and Bank Balance	6,251	25,171	24,795	25,697	26,731
Other Current Assets	0	0	0	0	0
Total Current Assets	**6,319**	**25,232**	**24,879**	**25,820**	**26,875**
Less:Current Liabilities					
Sundry Creditors	596	679	894	1,218	1,522
Provisions	549	549	549	549	549
Other Current Liabilities	5,080	5,102	7,098	10,337	13,166
Total Current Liabilities	**6,225**	**6,329**	**8,541**	**12,103**	**15,236**
Capital Applied	**24,884**	**45,368**	**46,723**	**49,700**	**53,728**

Cash Flows (Standalone)					
YE December (Rs. Mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
PAT	**3,289.6**	**2,771.3**	**4,330.0**	**5,952.3**	**7,003.2**
(Less)/Add: Extraordinary Items	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(876.2)	(1,188.1)	(1,698.9)	(2,247.2)	(2,633.1)
Add: Depreciation	413.8	437.9	397.6	617.6	777.6
Operating Profit before WC	**2,894.1**	**2,078.2**	**3,074.8**	**4,361.6**	**5,186.6**
(Inc)/Dec in Current Assets	(7.2)	6.5	(23.8)	(38.6)	(21.1)
Inc/(Dec) in Current Liabilities	68.9	104.6	2,211.5	3,562.6	3,132.5
Net Cash From Operations	**2,955.8**	**2,189.3**	**5,262.5**	**7,885.6**	**8,298.0**
Cash Flow from Investing					
(Inc)/Dec in Fixed Assets	(24.8)	(500.0)	(500.0)	(500.0)	(500.0)
(Inc)/Dec in Investment	(4,339.1)	(2,000.0)	(2,000.0)	(1,000.0)	(1,000.0)
Add: Non Operating Income	876.2	1,188.1	1,698.9	2,247.2	2,633.1
Cash From Investing Act	**2,312.5**	**(925.3)**	**(2,617.4)**	**(3,968.9)**	**(4,249.9)**
Cash Flow from Financing					
Dividend Paid	(979.2)	(917.0)	(917.0)	(917.0)	(917.0)
Tax Paid on Dividend	(198.6)	(183.4)	(183.4)	(183.4)	(183.4)
Net Cash from Financing Act	**(1,781.4)**	**17,655.6**	**(3,021.4)**	**(3,014.4)**	**(3,014.4)**
Net Inc/Dec in cash equi	**3,486.9**	**18,919.6**	**(376.3)**	**902.3**	**1,033.8**
Opening Balance	**2,764.4**	**6,251.3**	**25,171.0**	**24,794.7**	**25,697.0**
Closing Balance Cash	**6,251.3**	**25,171.0**	**24,794.7**	**25,697.0**	**26,730.8**

Source: Dalal & Broacha Research, Company

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